CASCADIA ANALYTICS

Lam Research Corporation

Equity Research Note | LRCX | 22 OCTOBER 2026

Etch Dominance

Lam Research Corp screens as a Hold, Valuation Concerns with a $139.33 blended target, 39% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$228.35	$139.33	-39%	HOLD, VALUATION CONCERNS

Investment Thesis

Etch Dominance. Lam is the undisputed leader in memory etch for 3D NAND (300+ layers). Gross margin of 51.7% [10-K FY26] and operating margin of 37.4% reflect pricing power. AI Capex Tailwind. WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth. Price Defies Math. At $228.35 [Mkt 16-Oct-26], the market implies 31.1% revenue CAGR for six years. Our $140.12 base case implies 39% downside. Great company, untenable price.

- Etch Dominance
- AI Capex Tailwind
- Price Defies Math

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The latest print

AI Capex Tailwind. WFE raised to $150B for 2026. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth.

Price Defies Math. At $228.35, the market implies 31.1% revenue CAGR for six years. Our $140.12 base case implies 39% downside. Great company, untenable price.

$6.72B	51.7%	37.4%	$1.82	$2.47B	$5.58B
REVENUE (Q4 FY26)	GROSS MARGIN	OPERATING MARGIN	EPS (NON-GAAP)	CSBG REVENUE	CASH

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q4 FY26)	$6.72B	+30.0%	Up
Gross Margin	51.7%	+1.9 pts	Up
Operating Margin	37.4%	+3.7 pts	Up
EPS (non-GAAP)	$1.82	Beat by 7.7%	Up
CSBG Revenue	$2.47B	+17% QoQ	Up
Cash	$5.58B	n/a	Flat
Net Cash	$1.86B	n/a	Up

The moat

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic

The growth engine

Memory systems: NAND revenues doubled sequentially on 256+ layer migration

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$34.13B	39.0%	**$108.15**	-53%
Base	50%	13.5%	$43.76B	41.5%	**$140.12**	-39%
Bull	25%	17.0%	$50.93B	44.0%	**$168.92**	-26%

Bear: downside case at $108.15 (-53%).

Base: central case at $140.12 (-39%).

Bull: upside case at $168.92 (-26%).

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The probability-blended target implies 39% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -39% from the $228.35 reference price.

$139.33
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$23.23B**
Valuation horizon	**2026-2031**
Live WACC	**10.56%**
WACC path (Year 1 to final year)	**10.56% to 9.44%**
Terminal growth	**3.0%**
Net cash	**$1.86B**
2031 FCF (Base)	**$14.67B**
10-year Treasury yield	**5.0%**
Beta	**1.50**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $139.33 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 31.1%, at/above Bull (17%) , euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each 6-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$59.8B	$48.85	+10%	$132.3B	$106.38	+30%	$275.4B	$219.87
-9%	$62.2B	$50.81	+11%	$137.5B	$110.48	**+31%**	**$285.2B**	**$227.59**
-8%	$64.8B	$52.86	+12%	$142.8B	$114.72	+32%	$295.2B	$235.53
-7%	$67.5B	$54.98	+13%	$148.4B	$119.11	+33%	$305.5B	$243.71
-6%	$70.3B	$57.19	+14%	$154.1B	$123.65	+34%	$316.1B	$252.13
-5%	$73.2B	$59.48	+15%	$160.0B	$128.34	+35%	$327.0B	$260.80
-4%	$76.2B	$61.87	+16%	$166.1B	$133.19	+36%	$338.3B	$269.72
-3%	$79.3B	$64.34	+17%	$172.4B	$138.19	+37%	$349.9B	$278.89
-2%	$82.5B	$66.92	+18%	$178.9B	$143.37	+38%	$361.7B	$288.32
-1%	$85.9B	$69.59	+19%	$185.7B	$148.71	+39%	$374.0B	$298.02
+0%	$89.4B	$72.37	+20%	$192.6B	$154.22	+40%	$386.6B	$308.00
+1%	$93.0B	$75.24	+21%	$199.8B	$159.91			
+2%	$96.8B	$78.23	+22%	$207.2B	$165.79			
+3%	$100.7B	$81.33	+23%	$214.9B	$171.85			
+4%	$104.8B	$84.54	+24%	$222.7B	$178.10			
+5%	$109.0B	$87.87	+25%	$230.9B	$184.54			
+6%	$113.3B	$91.31	+26%	$239.3B	$191.19			
+7%	$117.8B	$94.89	+27%	$247.9B	$198.04			
+8%	$122.5B	$98.59	+28%	$256.8B	$205.10			
+9%	$127.3B	$102.42	+29%	$266.0B	$212.37			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$134.45B	—	3.0%	$1.86B	$136.30B	**$108.15**
Base	$174.73B	—	3.0%	$1.86B	$176.59B	**$140.12**
Bull	$211.03B	—	3.0%	$1.86B	$212.89B	**$168.92**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 75.8% of Base enterprise value (Bear 73.1%, Bull 77.6%). The terminal WACC is 9.44% in Base (Bear 9.44%, Bull 9.44%), on a terminal beta of 1.20 (Bear 1.20, Bull 1.20).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$108.15	$119.56	$126.59	$133.48	$140.44	$147.40	$154.30
Base	$140.12	$154.90	$165.66	$176.34	$186.94	$197.28	$207.08
Bull	$168.92	$186.74	$200.86	$215.00	$229.00	$242.52	$255.09

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $139.33 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic

Memory systems: NAND revenues doubled sequentially on 256+ layer migration

CSBG at $2.1B quarterly run rate, margin-accretive recurring revenue

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26
Revenue	$17.4B	$17.4B	$14.9B	$18.4B	$23.2B
Gross Margin	46.1%	45.7%	47.5%	48.9%	51.7%
Operating Margin	30.2%	29.1%	27.8%	31.5%	37.4%

Valuation cross-check

P/E (fwd) 22.4x

DCF Base $140.12

FCF Yield ~3.5%

DCF math implies 39% downside even with generous growth assumptions.

AMAT 20x P/E

KLAC 21x P/E

LRCX trades at a premium to equipment peers without a commensurate ROIC edge.

Current multiples

near 5-year peaks

Trading at the top of its historical range, pricing in a permanent upcycle.

What to monitor

Oct 21, 2026. Q1 FY27 Earnings (Two-Sided): $8.31B revenue and $2.21 EPS consensus. Test of $8.1B guide.

2026-2027. Memory Capex (Positive): NAND layer scaling and HBM demand driving etch intensity.

Ongoing. WFE Cycle (Two-Sided): $150B WFE in 2026 is a peak; any slowdown hits bookings.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$14.6B	$6.8B	$4.5B	—
2022	$17.2B	$7.9B	$5.4B	—
2023	$17.4B	$7.8B	$5.2B	$5.6B
2024	$14.9B	$7.1B	$4.3B	$4.9B
2025	$18.4B	$9.0B	$5.9B	$6.5B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$15.9B	$9.9B	$6.0B	$4.4B
2022	$17.2B	$10.9B	$6.3B	$3.5B
2023	$18.8B	$10.6B	$8.2B	$5.3B
2024	$18.7B	$10.2B	$8.5B	$5.8B
2025	$21.3B	$11.5B	$9.9B	$6.4B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$3.6B	—	$-4.2B	—
2022	$3.1B	—	$-4.6B	—
2023	$5.2B	$-502M	$-2.8B	$4.7B
2024	$4.7B	$-397M	$-4.0B	$4.3B
2025	$6.2B	$-759M	$-4.9B	$5.4B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $139.33 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.28% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $106.02M of sales, a net flow of -$106.02M. One-year total shareholder return is +76.8% against CEO total pay of $6.82M (Mr. Timothy M. Archer), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.28% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $106.02M (12), net -$106.02M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +76.8%; Mr. Timothy M. Archer, President, CEO & Director, total pay $6.82M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-09	Archer Timothy M	Chief Executive Officer	SELL	30,000	$9.58M
2026-09-09	Mayer Bethany J	Director	SELL	9,557	$3.01M
2026-09-02	Varadarajan Seshasayee	Officer	SELL	59,750	$17.41M
2026-08-31	Harter Ava	Officer	SELL	5,000	$1.51M
2026-08-06	Archer Timothy M	Chief Executive Officer	SELL	30,000	$9.00M
2026-07-13	Talwalkar Abhijit Y	Director	SELL	18,282	$6.12M
2026-07-02	Archer Timothy M	Chief Executive Officer	SELL	30,000	$11.70M
2026-06-12	Brandt Eric K	Director	SELL	54,500	$20.01M

SEC proxy audit, DEF 14A filed 2026-09-24

Alignment grade B. COMPENSATION DATA NOT PROVIDED. Timothy M. Archer, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy statement excerpt outlines governance highlights and plan structures, but omits the Summary Compensation Table figures. Key governance safeguards are in place, including capping market-based PRSU payouts at 100% of target if absolute TSR is negative and tying over 90% of annual incentives to operational and financial metrics. Quantitative pay-for-performance alignment cannot be definitively verified without the full compensation tables.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/707549/000070754926000047/lrcx-20260924.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

WFE Cyclicality

WFE spending is cyclical; the $150B 2026 level may represent a peak, and any downturn would hit Lam's bookings hard.

Memory Concentration

Memory customers drive nearly half of systems revenue; a DRAM/NAND capex pause would disproportionately affect Lam.

China Export Controls

Export controls on advanced logic and memory tools for China restrict a meaningful end market.

The strengths

Operating Quality

Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution. The model's 2031 EBIT margins (Bear 39.0%, Base 41.5%, Bull 44.0%) sit above the filed FY2026 peak of 37.4%: the mechanism is mix, not hope — CSBG services revenue was $2.47B in Q4 FY2026 (about 37% of revenue) and compounds at double-digit rates as the installed base grows, advanced packaging revenue is growing over 50% YoY, and NAND layer scaling raises etch intensity per wafer. FY2026 itself set the peak (operating margin +3.7 pts YoY in Q4), so the ladder extends a filed trajectory by +1.6 to +6.6 pts over five years rather than assuming a new regime from a standing start.

Recent Trend

Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.

Forward Growth

WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.

Valuation

Market prices in 31.1% revenue CAGR, nearly double our 17% bull case. DCF base of $140.12 implies 39% downside. Euphoric.

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Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 16-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution. The model's 2031 EBIT margins (Bear 39.0%, Base 41.5%, Bull 44.0%) sit above the filed FY2026 peak of 37.4%: the mechanism is mix, not hope — CSBG services revenue was $2.47B in Q4 FY2026 (about 37% of revenue) and compounds at double-digit rates as the installed base grows, advanced packaging revenue is growing over 50% YoY, and NAND layer scaling raises etch intensity per wafer. FY2026 itself set the peak (operating margin +3.7 pts YoY in Q4), so the ladder extends a filed trajectory by +1.6 to +6.6 pts over five years rather than assuming a new regime from a standing start.	85
Recent Trend	Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.	88
Forward Growth	WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.	85
Valuation	Market prices in 31.1% revenue CAGR, nearly double our 17% bull case. DCF base of $140.12 implies 39% downside. Euphoric.	28
Catalysts & Risk	Earnings in 5 days are the near-term test. WFE tailwinds are real, but cyclical equipment at peak multiples is fragile. Balanced with downside skew.	60

Investment view

A 30%+ pullback toward our $140.12 base case would neutralize the Valuation drag and likely lift the composite into the high-70s. Conversely, a WFE downturn or Q1 FY27 miss on Oct 21 would cut Forward Growth and Trend simultaneously.

Investment view: Hold, Valuation Concerns. The $139.33 blended target implies -39%, balancing the $108.15 / $140.12 / $168.92 Bear / Base / Bull outcomes.

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